

# Theory of Demand, Supply and Market Equilibrium

HSS102: Concepts in Humanities and Social Sciences (Market)

25<sup>th</sup> , 27<sup>th</sup> March, 01<sup>st</sup> April 2026

# Thinking like an Economist

## »What is Economics?

- Economics studies how **individuals, firms, government, and other organisations within our society** make **choices**, and how these choices determine society's use of **its resources**.

- Scarcity and resources
- Distribution and Redistribution
- Economic efficiency

# Basic economic problems

1. What to produce
2. How to produce
3. For whom to produce

# Basic Components

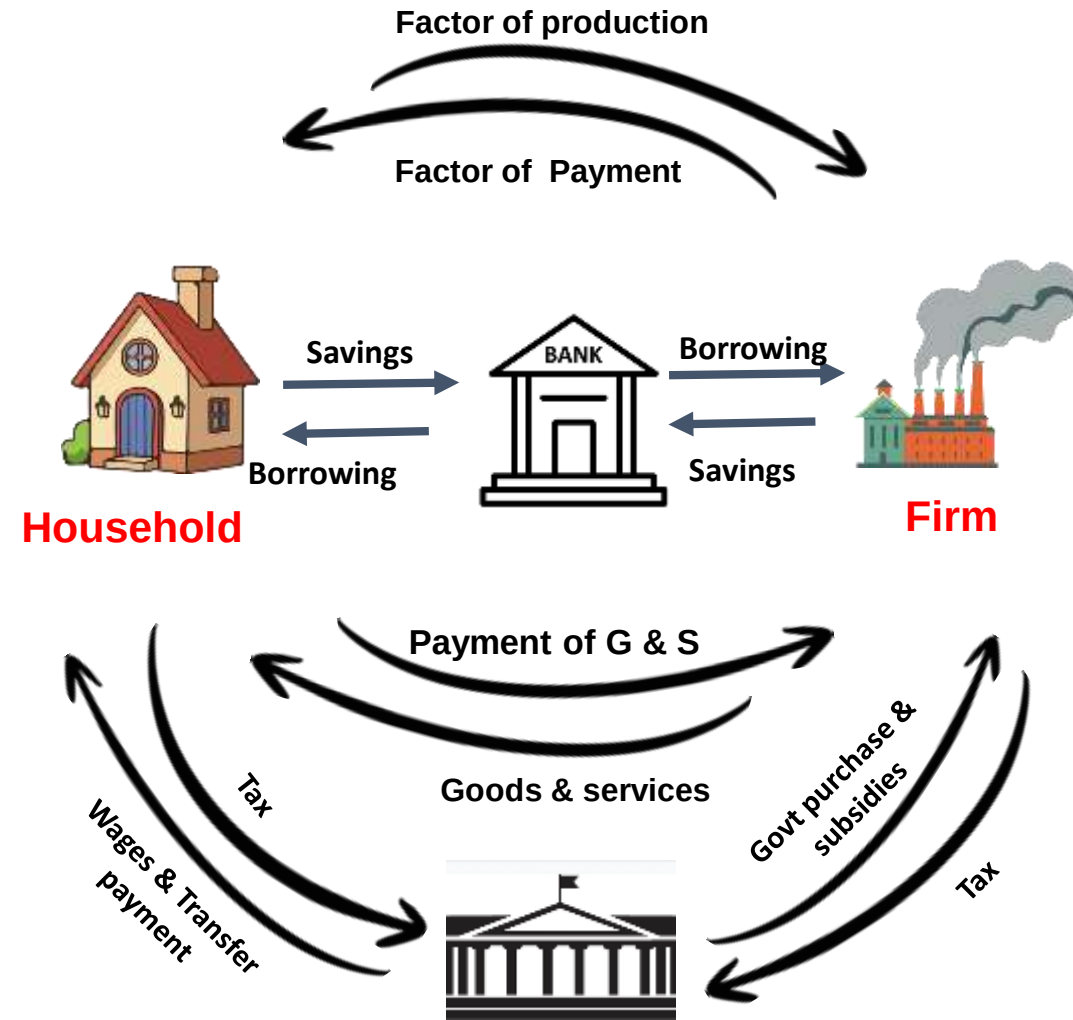
1. Production
2. Consumption
3. Distribution
4. Exchange

# Study on whom?

## **Economic Agents – have impact on outcome**

1. Individuals (consumer, producer, kid, thief, employer)
2. Groups (Family, firms, political parties, unions, collectives)

# Firms & Households: The Basic Decision-Making Units



- **Firm**

- An organization that transforms resources (inputs) into products (outputs). Firms are the primary producing units in a market economy.

- **Households**

- The consuming units in an economy.

# Markets

- **Markets**, the institutions and mechanisms used for the buying and selling of goods and services, vary in structure from those with hundreds or thousands of buyers and sellers to those with very few participants.
- The different types of markets influence the **strategic decisions** that managers/producers make because markets affect both the ability of a given firm to influence the price of its product and the amount of independent control the firm has over its actions.



# Types of Markets

1. Perfect competition
2. Monopolistic competition
3. Oligopoly
4. Monopoly

**Distinction is based on following characteristics:**

1. The number of firms competing with one another that influences the firm's control over its **price**
2. Whether the products sold in the markets are **differentiated or undifferentiated**
3. Whether **entry into and exit from the market** by other firms is easy or difficult
4. The amount of **information** available to market participants

# Production Possibilities Curve (PPC): Scarcity, Choices and Opportunity cost

- PPC: Various possible combinations of goods and services produced within a specified time with given technology and resources.
- Three basic assumptions
  1. Economy is operating at full employment and full production capacity (full efficiency)
  2. Amount of resources are available is fixed.
  3. The state of technology does not change throughout production

# Factors influencing the shift of PPC

1. Economic growth and economic recession
2. Increase and decrease in population
3. Technological advancement

# Demand

# Demand

- **Demand** is defined in economics as a functional relationship between the price of a good or service and the quantity demanded by consumers in a given period of time, *all else held constant (ceteris paribus)*.
- A **functional relationship** means that demand focuses not just on the current price of the good and the quantity demanded at that price, but also on the relationship between different prices and the quantities that would be demanded at those prices.
- **Demand = willingness to buy + ability of buy**
- **Demand curve:** The graphical relationship between the price of a good and the quantity consumers demand, with all other factors influencing demand held constant.
- **Reservation price:** A person's maximum willingness to pay for something that person's reservation price

## An Example

- Suppose that (keeping everything else constant) the demand function of a commodity is given by  $Q_d = 6000 - 1000P$ , where  $Q_d$  stands for the market quantity demanded of the commodity per time period and  $P$  for the price of the commodity.
  - (a) Derive the market demand schedule for this commodity.
  - (b) Draw the market demand curve for this commodity.

# Points to remember

- Quantity demanded
  - the amount of a good that consumers are willing to buy at a given price, holding constant the other factors that influence purchases.
- Demand curve
  - the quantity demanded at each possible price, holding constant the other factors that influence purchases
- Law of Demand
  - consumers demand more of a good the lower its price, holding constant tastes, the prices of other goods, and other factors that influence consumption.

# Law of Demand and Demand Curve

(Inverse relationship between price and quantity demanded)

## **Assumptions**

1. Tastes and preferences of consumer remain unchanged
2. Income of consumer remain unchanged
3. Prices of related goods should remain unchanged
4. Goods should not have prestige value



# Classifications of goods and services

- **Free goods**

- Goods that have no production cost. They are normally considered as nature (e.g., air, water, river, sunlight, etc.)

- **Public goods**

- Goods that are commonly used and are benefits to everyone (e.g., public hospitals, schools, national parks etc.)

- **Economic goods and services**

- Goods that involve a cost of production. Tangible and intangible

# Factors Influencing Demand

## A. Internal Factors

- Price of goods
- Service policies/payment policies
- Profit margin